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EQUITY Kenya HY'25 Earnings Note

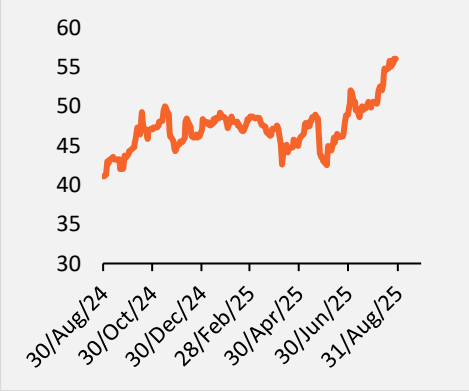
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Equity Group Holdings HY'25 Earnings Note

August 29th, 2025

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.78
52-week high:	KES 57.00
52-week low:	KES 33.70

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	12.4%	29.0%	19.1%	37.4%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 56.00	KES 61.40

Summary

- **Equity Group posted a 16.9% y/y surge in Profit After Tax to KES 34.63Bn,** reflecting early fruits of its transformation agenda. Earnings resilience was anchored in balance sheet efficiency, with interest expenses easing 18.0%y/y and loan loss provisions declining 34.5%y/y, amplifying a 9.1%y/y uplift in Net Interest Income. Importantly, regional subsidiaries delivered double-digit profit growth, now contributing 43.0% of Group PAT, highlighting Equity's shift from a Kenya-centric lender to a pan-regional franchise.

Key Highlights

- **Diversification& Subsidiary Contribution:** Regional subsidiaries continued to demonstrate resilience, anchoring Equity Group's transformation into a truly pan-African franchise. In HY'25, subsidiaries contributed 43.0% of Group PAT with DRC, Uganda and Tanzania delivering double-digit profit growth. DRC posted a 22.0% y/y increase in PAT to KES 9.1Bn, supported by 13.0% loan growth: Uganda's PAT rose 40% y/y to KES 1.9Bn on balance sheet expansion: while Tanzania achieved the fastest recovery with PAT surging 75.0% y/y to KES 1.1Bn. Rwanda registered strong asset growth of 21% reflecting rising deposits and loan book momentum. Kenya also rebounded with PAT up 40% y/y to KES 19.5Bn on improved NII and reduced funding costs.
- **Increasing Asset Quality Pressures:** While Equity Group showcased resilient earnings growth in H1 2025, credit quality came under pressure. The gross NPL ratio edged up to 13.7%, from 12.9% in H1 2024, though improved from the Q1 peak of 14.0%. This performance still outpaced the industry, where average NPLs stood at 17.6% in April 2025. Segment-wise, corporate loans remained most vulnerable, with NPLs soaring to 24.5%, while MSME exposures moderated to 14.2%. Geographically, Kenya posted the highest country-level NPL incidence at 20%, underscoring localized economic strain. Meanwhile, regional subsidiaries including Tanzania and Uganda demonstrated improved asset quality, aiding overall stability.

Balance Sheet Dynamics

The Group's total assets rose 3.0% y/y to KES 1.80 Tn from KES 1.75 Tn in H1'24, underpinned by a significant expansion in government securities. Holdings in government securities surged 27.7% y/y to KES 540.92 Bn, reflecting the lender's continued preference for lower-risk investments. The loan book grew 4.3% y/y to KES 825.10 Bn, indicating resilient credit demand across key markets. Customer deposits expanded 1.6% y/y to KES 1.32 Tn, supporting funding stability. However, increased loan deployment was evident as the loan-to-deposit ratio rose 1.7% points to 62.6%.

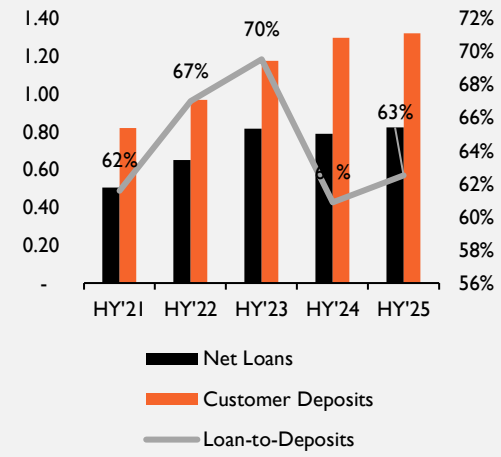
Operating Efficiency

Equity Group's cost-to-income ratio (CIR) excluding loan loss provisions stood at 51.7% in HY'25, up slightly from 50.9% in HY'24, signaling a modest rise in operating expenses relative to income. However, when factoring in loan loss provisions (LLPs), the CIR improved to 58.5% in HY'25 from 61.7% in HY'24, reflecting lower impairment charges. Operating expenses eased to KES 58.66Bn in HY'25 from KES 59.97Bn in HY'24, while operating income expanded to KES 100.20Bn from KES 97.14Bn, highlighting improved revenue generation efficiency. Staff costs increased to KES 17.63Bn from KES 16.01Bn, largely attributable to the rollout of regional branches and expansion initiatives that boosted the Group's footprint. Meanwhile, loan loss provisions fell to KES 6.89Bn from KES 10.52Bn, providing significant relief to the bottom line.

Outlook

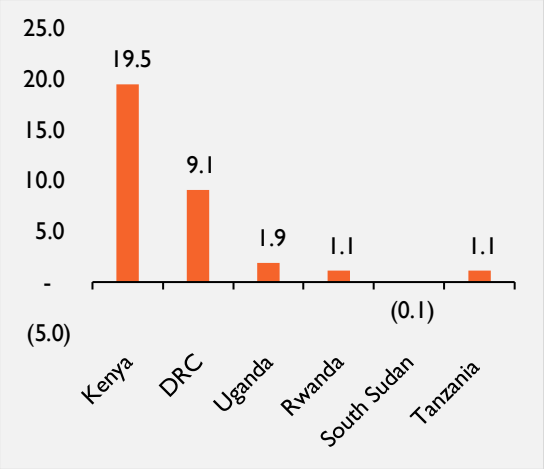
We expected Equity to sustain robust growth, supported by strong performance from regional subsidiaries and a resilient insurance unit. In DRC, the Group benefits from the 45.0% exemption on certain regulatory charges granted to foreign banks, which should support profitability. Meanwhile, the South Sudan subsidiary is positioned to capitalize on the resumption of oil exports, providing a tailwind for more growth. Despite pressure on interest income from declining rates, the lender is poised to benefit from a reduced cost of funds. The Group will continue leveraging non-banking businesses, which are increasingly contributing to profits, while ongoing technology investments are expected to enhance service delivery and competitive advantage across all markets.

Chart 2: Faster Deposit Mobilization



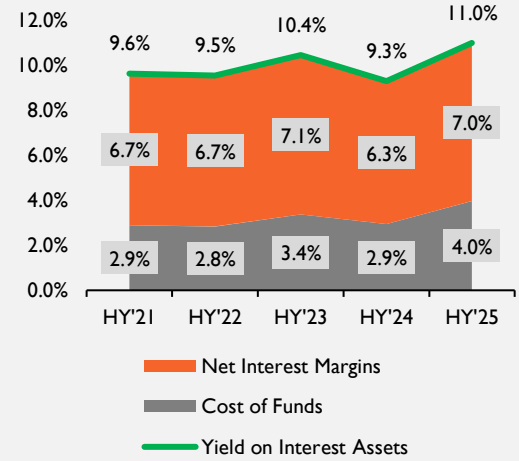
Source: Company filings, AIB-AXYS Research.

Chart 3: Profit After Tax Contribution (KES Bn)



Source: Company filings, AIB-AXYS Research.

Chart 4: Rising Net Interest Margin



Recommendation

- **We maintain our *BUY* recommendation on Equity Group Holdings, supported by strong subsidiary performance and continued expansion across its non-banking business.** At the current market price, the stock is trading at P/E ratio of 4.3x and a P/B ratio of 0.8x. Our one-year target price for Equity Group Holdings currently stands at KES 61.40 - representing a c.9.6% upside potential from current levels.

Income Statement (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Net Interest Income	31.2	39.8	46.4	54.36	59.30	▲ 9.1%
Non-Interest Income	20.8	25.8	36.5	42.78	40.90	▼ (4.4%)
Total Operating income	**51.9**	**65.6**	**82.9**	**97.14**	**100.20**	▲ 3.2%
Provision for Impairment	(2.9)	(4.1)	(7.1)	(10.52)	(6.89)	▼ (34.5%)
Total Operating expenses	(28.1)	(34.7)	(47.7)	(59.97)	(58.66)	▼ (2.2%)
Profit before tax	23.8	30.9	35.2	37.17	41.54	▲ 11.8%
Profit after tax	**17.9**	**24.4**	**26.3**	**29.62**	**34.63**	▲ 16.9%
Core EPS Annualized	9.51	12.95	13.70	13.95	15.70	▲ 12.5%

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Government Securities	315.5	365.0	485.6	459.22	586.17	▲ 27.6%
Loans and Advances	504.8	650.6	817.2	791.12	825.10	▲ 4.3%
Total Assets	**1,119.7**	**1,333.9**	**1,644.8**	**1,746.03**	**1,798.92**	▲ 3.0%
Customer Deposits	819.7	970.9	1,175.3	1,299.48	1,319.92	▲ 1.6%
Total Liabilities	964.7	1,183.5	1,450.5	1,525.52	1,522.85	▼ (0.2%)
Total Equities and Liabilities	**1,119.7**	**1,333.9**	**1,644.8**	**1,746.03**	**1,798.92**	▲ 3.0%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Spreads Analysis						
Yield on Assets	9.6%	9.5%	10.4%	9.3%	11.0%	▲ 1.7%
Cost of Funds	2.9%	2.8%	3.4%	2.9%	4.0%	▲ 1.0%
Net Interest Margin	6.7%	6.7%	7.1%	6.3%	7.0%	▲ 0.7%
ROaE	20.9%	30.5%	27.8%	23.8%	21.7%	▼ (2.1%)
ROaA	3.1%	3.8%	3.2%	2.9%	3.0%	▲ 0.1%
Profit Margin	34.6%	37.2%	31.8%	30.5%	34.6%	▲ 4.1%
Operating Efficiency						
Cost to Income Less LLP	48.5%	46.7%	49.0%	50.9%	51.7%	▲ 0.8%
Cost to Assets Less LLP	2.7%	2.5%	2.7%	2.9%	2.9%	▲ 0.0%
Loan to Deposit	61.6%	67.0%	69.5%	60.9%	62.5%	▲ 1.6%
Asset Quality						
Gross NPL Ratio	11.6%	9.0%	11.4%	14.3%	16.9%	▲ 2.6%
NPL Coverage	63.2%	64.1%	54.5%	81.7%	34.9%	▼ (46.8%)
Cost of Risk	0.6%	0.6%	0.9%	1.3%	0.8%	▼ (0.5%)
Capital Adequacy						
Core Capital/TRWA	14.0%	15.5%	15.0%	15.8%	16.5%	▲ 0.7%
Total Capital /TRWA	17.5%	20.2%	19.0%	18.1%	18.1%	-

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